e. Of course, for such a leasing market to take off, owners should be confident that longterm tenancy would not lead to their losing ownership. With a vibrant leasing market, and clear title, there should be little reason for not strengthening ownership rights.

f. For large projects with a public purpose – such as the proposed National Industrial and Manufacturing Zones, which will facilitate the setting up of small and medium enterprises, large-scale land acquisition may be necessary.

g. Given that the people currently living on the identified land will suffer significant costs including the loss of property and livelihoods, a balance has to be drawn between the need for economic growth and the costs imposed on the displaced.

h. The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Bill 2011, currently before Parliament, attempts to draw such a balance. As experience is gained with large-scale land acquisition, the institutions set up by the bill can be fine-tuned to achieve its aims.

i. Finally, encouragement needs to be given to land readjustment schemes, where when an area is identified for development, owners participate by giving up some of their land for infrastructure creation, but get back the rest, with the benefit that its value is enhanced by the infrastructure. Small and medium enterprise clusters can benefit especially from such schemes.

j. Given that large-scale land acquisition is still at a nascent stage, central schemes should allow room for states to experiment and should be modified, the light of the experince of states.

This measure will also create a conducive environment for ‘corporate’ and ‘contract’ farming which is not picking up due to absence of a proper ‘land-leasing’ norm in the agriculture sector. But then the ‘labour law’ reform will also be needed which will benefit the business and industries, too.

The major **non-labour impediments** for a small business to become formal and grow large, as well as some steps the government is taking have been highlighted here, there is evidence that these constraints affect industrial performance. After classifying industries according to their intensity of use